

Educational Products and Services Sector Needs Focus

The Indian education sector is growing rapidly as the Central as well as most state governments are going all out to educate their citizens. As late Nelson Mandela said, "No country can actually develop unless its citizens are educated." The focus of the current Central government on quality education and skill development would be energising the education sector further

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The Indian education sector's size is expected to increase to over ₹ 6000 billion (US\$ 100 billion) by 2015 from ₹ 3411.8 billion (US\$ 56.77 billion) in 2012, due to the strong demand for quality education, according to a recent report. At present we have about 700 universities and 35,500 colleges for higher education in India. More than 85 per cent of the students in these universities and colleges are doing bachelor's degree programmes. And about one-sixth of these students are enrolled in engineering or technology degree programmes.

With this kind of growth expected in coming years, the competition amongst students to prove themselves as future professionals in the industry would also increase. This in turn would further increase the demand for hands-on training and skill development. This demand will open up many more business opportunities for the educational and training products providers.

In the annual budget for 2014-15, the government has set aside ₹ 837.71 billion for education. In addition to this, Prime Minister Narendra Modi's emphasis on skill development and 'make in India' together reinforces rising prospects for the education and training products industry in coming years. Manufacture of electronics products in India, in particular, is being given a top priority.

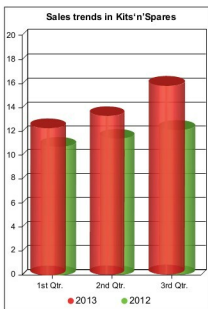


Fig. 1: Comparison of sales trends in first three quarters of 2012 & 2013

Industry today

The development kits and boards form an integral part of the education industry. In order to understand this better, it is imperative that we find out the role of these kits and boards in education and hands-on training.

Fig. 1 is a sample of the sales trends in the industry. It shows that there is definite growth in the awareness, and hence sales in this sector. But experts say there are some derivatives that have slowed down the growth as compared to the last few years. According to Nakul Chopra, director, Kits'n'Spares, "The educational and training kits industry faced a major boom of about 90 per cent in the FY

2011-12, but thereafter the growth seems to be very limited."

Agreeing to the above, Jayakumar Balasubramanian, director, Emertxe Information Technologies, tries to highlight the cause for the slump. He says, "In my perspective, there are multiple things happening in some kind of isolation. For example, there is a huge demand of training products amongst people to learn new things, either on their own or with some kind of an aid. Also, the hardware industry has become democratic and there are tons of players entering the field. But in the Indian context, the trend of this new way of learning has not become that popular amongst the students yet. We need to connect the dots."

Kapil Kumar Garg, co-founder and CEO, ThinnkWare, says, "As of now, there are two types of people selling the education and training products in India—the technocrats, whose products take care of the learning objectives of the kits, and then there are those who do not care about the learning outcomes of their products. Unfortunately, there is a lot of influence of the latter in the industry. These producers are merely providing the boards without any supporting documentation, like the content, application notes or data sheets of those products. They do this to cut corners—working on the learning outcome of a product increases the investment toward content development and product